DISSENTING OPINION BY M. ALTAMIRA.

[*Translation.*]

I regret that I cannot concur either in the decision reached in the foregoing judgment or in the grounds on which that decision is based. My main reasons for dissenting are two in number: first, I interpret differently the relevant articles of the Convention of Saint-Germain and, secondly, take a different conception of the question of law which confronts the Court having regard to "all the circumstances of the case". In this opinion I shall confine myself to explaining and justifying these two points of difference.

In point A, 1, of the Special Agreement submitting the "Oscar Chinn" case to the Court, the latter is asked to say whether "the above-mentioned measures complained of by the Government of the United Kingdom .... were .... in conflict with the international obligations of the Belgian Government towards the Government of the United Kingdom". The import of the words "the above-mentioned measures" is clearly indicated in the preamble to the Special Agreement. They were "certain measures taken and applied in the month of June 1931 and subsequently thereto by the Belgian Government (which is responsible for the Colonial Administration) in connection with the limited liability Company "*Union nationale des Transports fluviaux* (commonly known as Unatra), and in relation to fluvial transport on the waterways of the Belgian Congo". Furthermore, the Court has received sufficient enlightenment as to the precise nature of these measures in the course of the written and oral proceedings in the case. It appears therefore that this part of the text of point A, 1, requires no further explanation in order to be properly understood.

There might, however, be some doubt whether, by the definition of these measures given in the preamble of the Special Agreement as quoted above, they are restricted to measures directly affecting Unatra to the exclusion of measures affecting any other company or person. An interpretation as narrow as this would leave outside the scope of the question submitted to the Court facts and documents such as, for instance, those relating to the Company known as Socca, which, as I shall explain later, are of great importance for a correct understanding of the present question. It appears evident to me, however, that there can be no doubt of this kind. Not only have the Parties discussed the measures taken by the Belgian Government in regard to Socca and other commercial enterprises, besides that of Mr. Chinn, as being essential to a full understanding of the facts, but furthermore it is certain that the measures affecting concerns other than Unatra followed directly upon and were closely linked to the measures affecting the latter Company.

The question of law involved in point A, 1, of the Special Agreement is to ascertain whether or not the Belgian Government's measures as defined above are inconsistent with any or all of the international obligations of the Belgian Government towards the Government of the United Kingdom. We must, therefore, in the first place, see what these international obligations are.

In so far as treaty law is concerned, the source of these obligations is the Convention of Saint-Germain of September 10th, 1919. Their source might possibly also be traced to the general principles of international law. Let us first of all consider the Convention.

In Article 1 of the Convention, the fundamental words, in my view, are those which describe the international engagement entered into as one to maintain "a complete commercial equality". The signatories of the Convention have therefore undertaken to "maintain" "a complete commercial equality" in the territories indicated thereafter, which include the territory in which the waterways of the Belgian Congo are situated. This equality clearly covers all kinds of trade whether by land, river or otherwise. Accordingly, what we have to examine and define in this case is the general conception of commercial equality. It undoubtedly covers the commercial activities of Mr. Chinn's river transport business.

The idea of equality expressed in Article 1 of the Convention is certainly tantamount to a prohibition of any discrimination between the respective nationals of signatory Powers and of States, Members of the League of Nations, acceding to the Convention. It follows from the fact that the Article says: "a complete equality", that the discrimination prohibited by it embraces in principle any kind of discrimination which would involve a transgression of this very widely conceived principle of equality. It is however true that the word "complete" cannot have so absolute a meaning as to render it impossible for the governments bound by the Convention to carry out any act or measure of a commercial nature in their own territory and within the sphere of their own sovereignty. A large proportion of such acts and measures they are certainly free to carry out, even in relation to the commercial activities of foreign nationals. Nevertheless, this freedom, though very wide, cannot be exercised beyond the point where it would entail infringement of the equality accorded to such nationals in their commercial activities. This point would be reached as soon as the measure taken by the Belgian Government affected fundamentally the commercial activities which foreigners are entitled to engage in the Congo under the same basic conditions as Belgian nationals. It is clear that this does not imply the slightest encroachment on the sovereignty of Belgium, since it was in the exercise of this sovereignty that the Belgian Government accepted the obligations contained in the Convention of Saint-Germain. The Court has expressly enunciated this principle in its Judgment No. 1 (p. 25), and has referred to and confirmed it in Advisory Opinions Nos. 10 and 14.

I think that a more precise definition of what is covered by the equality mentioned in Article 1 is to be found in the other articles of the Convention. At all events, this definition must be sought within the four corners of the Convention and not elsewhere. The idea of equality in fact dominates the whole of the Convention to such an extent that it constitutes the common denominator of the articles following Article 1. We already begin to find evidence of what I have just said in Article 2, which prescribes "free access" for the merchandise of every signatory State to the interior of the regions specified in Article 1, as well as access to all the coast and to all maritime ports. And, in order to determine the precise import of this "free access" in the intention of the Convention, the term is immediately followed in the same Article by a clause to the effect that "no differential treatment shall be imposed upon the said merchandise on importation or exportation". The same prohibition is repeated in connection with the access of vessels to the coast and ports; this means that equality is also prescribed in this respect, and thus concrete shape is given to one aspect of the idea of "complete commercial equality" enunciated in Article 1, an idea which is different from the mere "access" prescribed in the previous sentence of Article 2. The last paragraph of the same Article further confirms this general aim of the Convention, since, in reserving to the States concerned "complete liberty of action as to the customs and navigation regulations and tariffs to be applied in their territories", it makes this liberty of action subject to the preceding provisions in the same Article ("subject to these provisions").

Article 3 of the Convention, like Article 2, adds something further to the definition of what is meant by complete commercial equality: it lays down that foreign nationals shall enjoy in the territories specified in Article 1 "the same treatment and the same rights as the nationals of the Power exercising authority in the territory". This applies as regards "the protection of their persons and effects", "the acquisition and transmission of their movable and real property", and "the exercise of their professions"; here, again, we have different aspects of equality which cover a wider legal sphere than that of commerce, but nevertheless include the latter by the reference to the exercise of professions. The provision concerning the "exercise of their professions" should be especially noted here, since a part of the business carried on by Mr. Chinn in the Congo was a profession which in the codes of all countries, as well as in common parlance, is described as commercial, a point which moreover is well brought out in the judgment.

The same prohibition of differential treatment is to be found in Article 4, though it does not relate to matters relevant to the present case. On the other hand, Article 5, paragraph 1, prescribes a special right which directly concerns the fluvial traffic in issue, the right of free navigation "for merchant vessels and for the transport of goods and passengers".

The interpretation of the word "navigation" would seem to present no difficulty, since it expresses a common conception and one understood by all in the two senses which are well explained in the judgment. This conception is fully confirmed, as regards the kind of navigation with which we are concerned, by the phrase above quoted which specifies the economic activities which the Convention meant the term "navigation" to cover, by reference to the different functions served by navigation : commerce proper, the transport of goods and that of passengers. But the difficulty begins when we have to interpret the word "navigation" in conjunction with "freedom", since the latter may apply equally well to the ship itself as to the economic function which it serves and which is the chief reason why freedom of movement is essential to it. Accordingly, whereas if one were to consider "freedom" as applying only to the movement of ships in the direction, in the regions and at the times demanded by the object in view, any impediment of another character would be consistent with the rule laid down in Article 5, if, on the other hand, one considers "freedom" from the standpoint of the ultimate economic aim of navigation (trade, the transport of goods or passengers), the term would also cover freedom from impediments likely to render economically impossible the attainment of this aim. The consequences of these two interpretations differ of course considerably, and, in the present case, they would lead to entirely contrary conclusions. The first would render the first paragraph of Article 5 applicable to the present case only if Mr. Chinn's vessels had been actually prevented from proceeding on their voyages ; the second would make that paragraph applicable even if there were no actual impediment to navigation, provided that some other cause resulting from a measure taken by the Belgian

Government in regard to fluvial traffic on the Congo rendered the carrying on of the transport enterprise in question economically or otherwise impossible. Upon reflection, it does not appear to me that the second interpretation is possible, because paragraph 1 of Article 5 does not cover the exercise of the calling with which the economic purpose served by the vessels is connected. An economic impediment may convert a favourable venture into a ruinous one which it is impossible to proceed with, since the aim of business life is to reap profits and not incur loss; but such an impediment would not prevent the movement of ships for any other purpose served by navigation. Economic or, in other words, professional aims have been dealt with in Article 3, and there is nothing to indicate that they are again contemplated here.

On the other hand, paragraph 2 of Article 5 contains a phrase similar to that occurring in Article 1: "a footing of perfect equality", a footing on which "craft of every kind belonging to the nationals of the signatory Powers" are to be treated "in all respects". This can only be regarded as another concrete aspect of what is meant by commercial equality which, to be "complete", must necessarily cover not only the persons of foreign nationals and their commercial activities, but also their merchandise and vessels. As regards the latter, it is clear that the Convention covers them in the widest possible manner, since Article 5 contains the phrase already quoted: "in all respects", which may well cover all respects in connection with and necessary to, not merely actual navigation, but also the fulfilment of its various possible and lawful objects. The phrase "in all respects", in fact, will easily bear this interpretation, since access of vessels and merchandise and customs regulations and tariffs have already been dealt with in Article 2, since Article 6 deals with other charges, duties and obligations, and paragraph 1 of Article 5 which we are now considering covers the other movements of vessels, which leads naturally to the supposition that the phrase "all respects" in the second paragraph of the same Article may well possess an import much wider than the simple movement of vessels.

Article 6, as already stated, also concerns navigation; it exempts shipping from dues and taxes with the exception of certains charges duly specified in regard to which the Article repeats that they shall "not admit of any differential treatment". Article 7 extends the provisions of Article 5 to the tributaries of the rivers and lakes specified in the latter, as well as to roads, railways or lateral canals, and, in authorizing the collection of certain tolls, it says that, "as regards the tariff of these tolls, the nationals of the signatory Powers .... shall be treated on a footing of perfect equality". Finally, Article 9, though it permits the governments exercising authority to establish such systems "as may be required" for the maintenance of public safety and order and other general necessities, on certain rivers and their tributaries and on certain lakes, stipulated that such regulations "shall not admit of any differential treatment".

After this analysis of the various articles relevant to the present case, I can once more affirm that the idea dominating the Convention with regard to the international obligations contracted therein is clearly the idea of equality of treatment in every matter dealt with.

Before turning to another point, we must now consider Article 10 of the Convention, although it does not belong to the group of articles which concern the matter before us. The fact that the words "freedom of trade" do not occur in these articles may have been noticed; instead of them we find "commercial equality" in Article 1, and "freedom of navigation" in Article 5. Only in Article 10, which is practically copied from Article 35, Chapter IV, of the Act of Berlin, do we find a reference to "freedom of trade" in conjunction with freedom of transit; but this reference serves rather to emphasize that the Convention is governed by a conception somewhat different to that represented by the phrase "freedom of trade" in the sense in which it was understood in 1885. The full text of this Article demonstrates this sufficiently clearly:

> "The signatory Powers recognize the obligation to maintain in the regions subject to their jurisdiction an authority and police forces sufficient to ensure protection of persons and of property and, if necessary, freedom of trade and of transit."

As regards the last paragraph of Article 1 of the Act of Berlin—which is annexed to Article 1 of the Convention of Saint-Germain but for the purpose indicated therein only—the phrase "free trade" also occurs in that paragraph, but, in my opinion, the only purpose which it serves in the Convention is to explain the scope of the obligations embodied therein in relation to international life as a whole.

As regards the source of any international obligations which might be deduced from the general principles of international law, I have nothing to say, being in agreement with the Court's judgment on this point.

Having thus analysed the sources of law, we must now consider the measures taken and applied in June 1931 and subsequently by the Belgian Government, in order to see whether they are consistent with the international obligations noted above.

In examining these measures, I shall take account of the "circumstances of the case" referred to in point A, 1, of the Special Agreement, in so far as relevant to the question put therein. To my mind there is no doubt that these "circumstances" include the facts for which the Belgian Government is responsible (and accordingly the "measures" referred to in Article 1 of the Special Agreement) as well as those in connection with Mr. Chinn's activities in the river transport business. Since the Special Agreement is an agreement between the two Governments who were parties to the present dispute, the words "having regard to all the circumstances of the case" can only be meant to cover both the opposing standpoints, that is to say both that of the Belgian Government and that of the Government of the United Kingdom, and likewise the circumstances in connection with the person whose case the latter Government has taken up. Accordingly, we must "have regard" on the one hand to "circumstances" in connection with the Belgian Government's measures, their explanation and justification, and, on the other hand, to "circumstances" in connection with the effects of these measures as regards Mr. Chinn and the latter's reaction to them.

The first of the Belgian Government's measures contemplated by the Special Agreement is the decision of June 20th, 1931. This decision was taken by the Belgian Minister for the Colonies. Practically speaking, it consists, on the one hand, of a reduction in the rates applying at that date to the transport and handling of certain colonial products of the Congo, the reason for the reduction being "the collapse of the prices obtainable for colonial products in the European markets", and, on the other hand, a promise to refund any losses occasioned by this reduction to certain companies, which refunds would be recoverable by the Colony "when the economic situation made it possible again to raise the rates above mentioned".

The decision states that the reductions in rates are to be applied in so far as concerns Unatra "for all voyages". A differentiation between upstream traffic and downstream traffic, as regards the application of the new rates, is not expressly mentioned but seems to be implied in so far as concerns colonial products properly so-called which, as a rule, will be intended for export to Europe, thus involving transport downstream only. These products being the most plentiful and important in the colony, must in reason constitute a vast preponderance of the traffic, certainly of downstream traffic. In reality, however, and for the purposes of this case, this distinction between the two streams of traffic on the river is not very important.

It may be of importance in connection with the appraisement of the economic effects (larger or smaller losses ; greater or less degree of the financial impossibility of carrying on transport business), since an impediment affecting navigation traffic in one direction only (upstream or downstream) will certainly be a factor exercising great influence on shipping engaged in the transport of merchandise. For transporters are most careful to secure cargoes for the voyage in both directions, since otherwise the venture might be so financially unprofitable to them that they might be impelled to lay up their vessels, as experience shows to be sometimes the case. On the other hand, it in no way affects the commercial inequality resulting from the decision of June 20th, 1931, which I shall demonstrate later. Nor does the inconsistency of this measure with the international obligations of the Belgian Government towards the Government of the United Kingdom depend on what was the economic aim pursued by the former Government in the decision of 1931, or on the question whether it had more than one intention in taking that decision. In any case, the relation in which the decision stands to certain articles of the Convention of Saint-Germain will remain the same. That is why I see no use in discussing the British and Belgian standpoints in regard to this question.

The companies affected by the decision and enumerated therein were four land transport concerns, one river transport concern (Unatra), and another the nature of which is not specified. These six companies did not constitute all the concerns at that time engaged in the transportation business in the Congo ; over and above the companies to which the decision of June 20th, 1931, applied were other concerns, both Belgian and foreign, which are grouped together under the heading of "private transporters". It is difficult to understand the reasons which led to this exclusion, seeing that the crisis was at that time a general phenomenon which affected every branch of economic activity in the Congo, and that one of the enterprises excluded (that of Mr. Chinn) was at that moment the only one besides Unatra (a fact which is not disputed) engaged in fluvial transportation proper—the other enterprises being in reality producers who transported their own produce. The only reason for this exclusion which would, appear at all comprehensible, is that it was impossible for the Belgian Government to compel companies, other than those mentioned in the decision, to reduce their transport tariffs. But, even disregarding a point which is not without importance, namely the actual wording of the decision, that calls on the enterprises in question to "consent" to these reductions being imposed on them (the Government's only right, so far as we know, in this respect was that of approving Unatra's transport tariffs, but that did not include the imposing of any freight rates, even upon that Company), it is clear that there was nothing to prevent the Government from making a similar proposal to the so-called "private" enterprises, and in case of their acceptance, from offering them the above-mentioned repayment—as it actually did, as we shall see later, in 1932. That shows that there was no fundamental impossibility in this respect. It might even be added that the Belgian Government ought to have taken this step in 1931, seeing that, although the depression was primarily affecting trade in products of the Congo, it could not fail, by an inevitable reaction, to affect the carriers of those products, that is to say, not only those referred to in the decision of June 20th, 1931, but also those who were excluded from the benefits of that decision, though they constituted an integral part of the economic life of the Congo, in the same way as the others. There is nothing in the text of the decision of June 20th which gives even an indication of such an elementary consideration. It is interesting to observe that, a few years before that date, namely in 1928, when the Belgian Government was authorizing this very Unatra Company, which is the chief subject of the decision, to introduce certain reductions which it had asked leave to make in its transport tariffs in order to meet the competition of other carriers, it added some reservations which revealed its solicitude for the rights of other enterprises. Thus, the letter written by the Minister of the Colonies on October 24th, 1928, contains the following passage:

[*Translation.*] "I should see no objection to the tariffs that are submitted for my approval being regarded as maximum rates; in these circumstances you would be able to conclude special transport contracts; but I draw your attention to the need of treating all the carriers of the same category on a footing of equality. I do not wish to receive any justifiable complaints; the smallest such complaint would lead me to contemplate the withdrawal of the approval which I convey to you in the present despatch."

In view of the different circumstances surrounding the decision of June 20th, 1931, the legal description which best fits it is, in truth, that it constituted a privilege. It does not, of course, acquire that character simply because it affirms the necessity and the intention of reducing tariffs, as was done, with the consequence, so far as the transport enterprises were concerned, of costly sacrifices, attended by grave financial consequences. We might even agree that it did not become a privilege because, at the outset, it applied the tariff reductions to some only of the transporters operating on the Congo. But it undoubtedly became a privilege when it confined to one group only of the transporters its offer of enabling them to offset the losses which must necessarily follow the lowering of tariffs, and when it failed to extend this favour to the other enterprises. And yet the "private transporters" were inevitably placed by the Belgian Government's decision in a manifestly weaker position for resisting the crisis which must immediately overtake the transport business; in other words, they were faced with the certainty of loss without being offered the hope of compensation. And the privilege thus conferred solely upon one group of transporters is nothing else than an inequality of treatment affecting a particular branch of commerce.

It is true that this inequality would not, in principle, be regarded as an injustice in the normal life of a State. It might arise, without giving any ground for justified complaint on the part of enterprises not admitted to participate in advantages such as those which were offered, in a period of general commercial depression, by the decision of June 20th. But, in the case of the Congo, where the special Statute created by the Convention of Saint-Germain is in force, the question presents itself in a very different light. Having regard to the international obligations which that Convention imposes on the riparian States, and in particular upon the Belgian State, in the matter of commerce, the above-mentioned decision undoubtedly constitutes one of those cases of inequality that is prohibited by the Convention. That inequality is not dispelled owing to the difference that exists between the special position of Unatra in the economic life of the Congo, and in its relations with the Belgian Government, and the position of the other companies. Even if that difference were as profound as has been alleged, that would be no ground for concluding that Unatra's affairs—however closely that Company may be controlled by the Belgian Government—are outside the boundary of the international obligations arising from the Convention of Saint-Germain. It appears to me that, from the point of view of that Convention, Unatra can only be regarded in the light of its commercial character and of its Belgian nationality, and not in its capacity as a controlled or an uncontrolled Company—a point which is immaterial for the legal issue in the present case. The same reasoning should apply, in good logic and in good law, to the theory that the decision of June 20th, 1931, may be considered as a kind of *novatio* of the contract between Unatra and the Belgian Government. No modification of that kind could go so far as to override the obligations undertaken in the Convention.

Also, owing to the fact that, as already mentioned, one of the enterprises excluded by the decision was that of Mr. Chinn, a British subject, and, still more, owing to the circumstance that Mr. Chinn was, apart from Unatra, as has been pointed out, the only carrier, in the strict sense of the term, the conflict which results with the rules of the Convention of Saint-Germain is a "conflict with the international obligations of the Belgian Government towards the Government of the United Kingdom", in regard, in particular, to Articles 1, 3 and 5 of that Convention.

The following objection may be made against this conclusion. Even if one admits, as a consequence of the foregoing arguments, that the decision of June 20th, 1931, produced a commercial inequality of treatment, did that inequality fulfil the condition, said to be required by the Convention, of being based on the ground of nationality? Or does the fact that the group of enterprises excluded by the decision (the "private transporters") comprised both Belgian and foreign nationals show that the above-mentioned condition was not fulfilled, and that, consequently, there was no inequality of treatment in the sense of the Convention?

I do not think so. First, because the idea of nationality appears to me to mean something quite different in the Convention of Saint-Germain from what it means in the treaties in which the ground of nationality is the characteristic feature, namely, the treaties relating to Minorities properly so-called. The standpoint of those treaties is indeed very different from that which the Convention of Saint-Germain may have had—and, in my opinion, really had. Moreover, there is nothing to show that a conception of nationality such as might justify the objection we are now considering, played any part in the negotiations which led to the framing of that Convention. It would indeed be difficult to regard the presence of a certain number of foreigners of different nationalities in the Congo as evidence of the existence of minorities who would have need of rules for their protection similiar to those provided for minorities in the treaties referred to above.

The signatory Powers of the Convention of Saint-Germain and the signatories of the Berlin Act were not moved to give contractual form to the freedom, equality, and guarantees, which are stipulated in those two treaties, by any need of affording protection in the Congo to some minority of nationality, language, or religion present therein, and attached to the respective Powers by political or other ties. Their aim—apart from matters relating to the natives and from some words in Article 11—was the economic object of ensuring for the citizens of certain States in these African territories freedom to engage in all economic activities, and protection for their civil rights against the system of monopolies which had long characterized the financial policy of the colonizing countries. Thus, when the Convention refers to "nationals", it is because that word is best suited to designate the link that unites the persons referred to therein to the contracting States. But these persons are not considered in the Convention with reference to their nationality, or with a view to safeguarding anything inherent in their status as nationals, but with reference to their commercial, shipping or other associations which, it must be repeated, are the special concern of this Convention. It is in order to safeguard them in the exercise of those avocations that the Treaty was concluded, and it follows that it is the inequality of treatment to which they might be subjected in that respect which is forbidden in the Treaty, irrespective of the grounds on which it is based.

In view of the above considerations, it appears to me impossible to agree that acts of discrimination can only be regarded as infractions of the international obligations arising out of the Convention of Saint-Germain if the discrimination affects foreign nationals as compared to Belgian nationals. To demonstrate the fallacy of this view, one needs only to observe that, if that theory were adopted, the result would be to abolish international obligations in a number of cases. It would suffice that, as a result of an error or oversight, a measure which was discriminatory in itself, happened to apply both to nationals and to foreigners, for the said measure to be regarded as compatible with the international obligation of equality of treatment. The earnest solicitude for "complete commercial equality" which is shown by the Convention of Saint-Germain could not be reconciled with an interpretation which would presume an oversight on the part of the signatory Powers, fraught with consequences inimical to their essential purpose.

One must also consider the fact (a very important "circumstance of the case") that, in the present instance and because in 1931 there were no fluvial transporters, properly so-called, other than Unatra and Mr. Chinn—the inequality suffered by the latter really results from a difference of treatment as between a Belgian national (Unatra) and a foreign national (Mr. Chinn) ; for the other transporters on the Congo were not—as has been already shown—working under the same conditions that characterized the position of Unatra and Mr. Chinn. Accordingly, even if the hypothesis which I am now considering were correct, it could not, in my view, cover the present case.

The conclusion that there was inequality of treatment is based solely—as has been seen—on the decision of June 20th, 1931. The subsequent facts are recited in the judgment. I will only select from among them the fresh decision of July 28th, 1931, which most signally endows the decision of June 20th with the character of a privilege, inconsistent with the terms of the Convention.

For, although the decision of June 20th, 1931, confined itself to offering repayment of future losses to a particular group of companies, there was nothing in the text of that decision which prevented a similar favour from being conceded to the other companies, if they also reduced their tariffs to the same scale as that laid down by the Belgian Government. As a fact, this possibility at once occurred to some of the private transporters; it was raised in particular by Socca in its letter of June 26th, 1931, to which I shall return. One finds other evidence of the same fact in the letter dated June 27th, 1931, from the President of the Leopoldville Chamber of Commerce, in the representations made by the *Association des intérêts coloniaux belges* in August of the same year, and in the recommendations made by the Council of the Colonial Government at Leopoldville on July 11th, 1931, and also at its meeting on October 14th. Evidence to the same effect is to be found in recitals of the judgment of the Court of first instance at Leopoldville (Sept. 21st, 1932), which show that other private transporters, in addition to Socca, had perceived the perfectly justifiable possibility of the advantages offered by the decision of June 20th being further extended. The judgment in question says: "Whereas .... the associated plaintiffs have brought an action against the Colonial Government for damages on account of the prejudice they claim to have suffered owing to the fact that the Colonial Government concluded an arrangement with the *Société nationale des Transports fluviaux* known as "Unatra" without admitting them to the benefits of similar treatment...."

The Socca Company, as has already been said, had made formal application to that effect to the Belgian Minister of the Colonies in a letter dated July 26th. It is noteworthy that Socca does not ask, in that letter, for any special favour, but that it assumes from the outset—as something too self-evident to require proof—that the repayments promised in the decision of June 20th are naturally applicable to companies other than those enumerated in that decision. Accordingly, Socca confines itself to asking for the necessary information as to the conditions with which it must comply in order to qualify for the said repayments, that is to say, in order to come under the régime of June 20th. Thus, paragraph 2 of Socca's letter reads: "As our Company maintains a regular transport service, carried on by several vessels, we should be glad if you would inform us as to the conditions with which we must comply in order to be compensated by the Government for the losses we are incurring, as a direct consequence of your recent decision in regard to transport." Socca was right, in my opinion, in believing that there could be no logical obstacle to its participation in the new régime.

The reply from the Minister of the Colonies to the letter of June 26th is dated July 28th. It consists of five paragraphs. The first states clearly the request made by Socca; the second gives a description of the decision of June 20th, saying that "the measure in regard to the lowering of transport tariffs was taken in the general interest and was made necessary by the conditions in regard to prices of Congo products in the European markets". This statement is of great importance for the present question, as it offers a confirmation of the chief reason which is given for the necessity of the decision of June 20th; but whereas one would expect this statement to be followed by the natural conclusion ensuing from the *general character* thus attributed to the measure taken in June, one finds on the contrary that, in its last paragraph, the Minister's letter abandons the position taken up in the second paragraph and refuses Socca's request for reasons of a totally different kind. This fifth and last paragraph says: "It follows that the Government's intervention must be confined to those transport enterprises whose tariffs it has the right to control. I regret that I am not therefore able to comply with the request you have submitted." To show even more clearly the lack of continuity between the reasoning in this fifth paragraph and that of the earlier paragraphs of the same letter, it should be mentioned that the remainder of paragraph 2 and paragraphs 3 and 4 merely give explanations regarding the text of the concluding paragraphs of the decision of June, and point out that those paragraphs are only concerned with fixing the character of the reimbursements promised, and the conditions upon which they will be paid and, in due course, refunded, to the Colonial Exchequer. They contain no argument which would enable the conclusion in paragraph 5 to follow from what is stated in paragraph 2. Omitting all other possible comments—which would be superfluous at this time—on this letter of July 28th, the fact which results from the refusal it conveys is that it definitely confirms the differential treatment which was already so clearly indicated by the decision of June 20th. The reply of the Minister of the Colonies of July 28th, 1931, is therefore in obvious conflict with the Convention of Saint-Germain and especially with its Articles 1 and 3.

On the other hand, I have not been led to the same conclusion, that there was a conflict with the international obligations arising from the Convention—in regard to the thesis based on the allegation that it became absolutely impossible for the "private transporters" to continue their business, as a consequence of the Minister's refusal of July 28th, taken in conjunction with the decision of June 20th; and that Mr. Chinn not being a merchant, was therefore not able to protect himself by trading from the consequences of the injury done to his transport enterprise. Apart from the uncertainty as to whether his business was in fact rendered impossible—a point which is disputed by the Belgian Government, but which is not in my view an essential issue—there is also the uncontested fact that Mr. Chinn did abandon his business (on July 1st) a few days after the publication of the decision of June 20th, and that he does not seem to have taken the same steps as Socca to seek a natural solution of the situation created by the decision of June 20th, before he had recourse to the courts in 1932. In these circumstances, it would be rash to conclude that—in addition to the inequality prohibited by the Convention of Saint-Germain —he suffered prejudice on the ground that it was made impossible for him to continue his business. I think that the prejudice would be found to consist—if it had been possible now to make a thorough investigation—not in the fact referred to above, but perhaps in the inevitable losses resulting from the position of inequality in which the so-called "private" transporters were placed by the decision of June 20th. But all those points are now immaterial to the issue, and I think there is no need for me to dwell upon them.

I have still a few words to say regarding certain facts subsequent to July 28th, 1931.

Fifteen months after that date, a "Public Notice", issued by the Governor-General of the Congo in pursuance of a decision by the Minister of the Colonies, modified the policy expressed in the decision of June 20th, 1931, and in the letter of July 28th of the same year, and declared that "private transporters who ask for it will be granted, as an advance and subject to the requisite guarantees, repayment of the losses suffered as a result of the transport of produce downstream at the reduced tariffs. This loss to be calculated .... on the basis of the loss sanctioned by Unatra on December 31st, 1932"; that is to say, it would not be calculated upon the basis of the losses suffered by the private transporters.

I will not examine the substantial value of this new offer, having regard to the conditions attached to it and to the terms of the fresh Notice of November 5th, 1932, as these facts are irrelevant, from my point of view, to the legal issue stated in A, 1, of the Special Agreement. I will content myself with pointing out that this rectification of the policy which the Belgian Government had declared in June 1931, and which it reaffirmed on July 28th, confirms my reasoning. Moreover, the fresh decision of October 3rd, 1932, could not obliterate the effects of the former policy which had been felt by the private transporters (including Mr. Chinn) during the past fifteen months; or the fact that discriminatory treatment had continued throughout that period, not to mention the disastrous consequences to business which naturally ensued from it. That, in my opinion, suffices to cause an affirmative answer to be given to point A, 1, of the Special Agreement.

(*Signed*) RAFAEL ALTAMIRA.